IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/483/CAA/2019
In
CA/280/CAA/2019

Under Section 230 to 232 of the Companies Act, 2013

In the matter of **Composite Scheme of Arrangement**

Between

M/s. Chemplast Sanmar Limited

(Applicant Company-1/Demerged Company/Transferee Company-1)

And

M/s. Sanmar Speciality Chemicals Limited

(Applicant Company-2/Transferor Company-1)

And

M/s. Chemplast Cuddalore Vinyls Limited

(Applicant Company-3/Resulting Company)

And

M/s. Sanmar Engineering Services Limited

(Applicant Company-4/Transferee Company-2)

And

M/s. SHL Securities (Alpha) Limited

(Applicant Company-5/Transferor Company-2)

And

Their respective Shareholders and Creditors

Order passed on: 26th April, 2019

CORAM

CH. MOHD SHARIEF TARIQ, MEMBER (J)

For Petitioner(s): M/s. Rajasekhar VK & B.Sarathbabu, Counsel

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J)

1. Under Consideration is the joint Company Petition No.483/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The instant Petition pertains to the proposed Scheme of Arrangement (in Short, **'Scheme'**), by virtue of which demerger, transfer and vesting of the Demerged Undertaking from M/s. Chemplast Sanmar Limited (hereinafter referred to as **'Applicant Company-1/Demerged Company/Transferee Company-1'**) in M/s. Chemplast Cuddalore Vinyls Limited (hereinafter referred to as **'Applicant Company-3/Resulting Company'**) on a going concern basis. The petition further pertains to the amalgamation of M/s. Sanmar Speciality Chemicals Limited (hereinafter referred to as **'Applicant Company-2/Transferor Company-1'**) with the M/s. Chemplast Sanmar Limited (hereinafter referred to as **'Applicant Company-1/Demerged Company/Transferee Company-1'**) and M/s. SHL Securities (Alpha) Limited (hereinafter referred to as **'Applicant**

Company-5/Transferor Company-2') with M/s. Sanmar Engineering Services Limited (hereinafter referred to as **'Applicant Company-4/Transferee Company-2'**).

2. Applicant Company-1/Demerged Company/Transferee Company-1 is a Public Limited Company, having its Registered Office at 9, Cathedral Road, Chennai- 600086. The Applicant Company-2/Transferor Company-1 is a Public Limited Company, having its Registered Office at 9, Cathedral Road, Chennai 600086. The Applicant Company-3/Resulting Company is a Public Limited Company, having its Registered Office at 9, Cathedral Road, Chennai 600086. The Applicant Company-4/ Transferee Company-2 is a Public Limited Company, having its Registered Office at 9, Cathedral Road, Chennai 600086. The Applicant Company-5/ Transferor Company-2 is a Public Limited Company, having its Registered Office at 9, Cathedral Road, Chennai 600086.

3. The Applicant Company-1/Demerged Company/Transferee Company-1 is engaged in the business to manufacture, test, purchase, import, export, sell, distribute, stock, deal and trade

in, process Polyurethane chemicals, intermediates, resins, compounds, systems and formulations of all types and articles made there from and equipment involved in processing of the same towards all types of end-use application etc. The details of the main objects are set out in the Memorandum of Association of the Applicant Company-1/Demerged Company/Transferee Company-1. The Applicant Company-2/Transferor Company-1 is engaged in the business to carry on the trades or business of manufacturers, dealers import, export, retail and wholesale in Electro medical Equipment, Electronic Equipment, Electrical and Electronic appliances and apparatus including components and accessories, etc. The details of the main objects are set out in the Memorandum of Association of the Applicant Company-2/Transferor Company-1. The Applicant Company-3/Resulting Company is engaged in the business to manufacture, test, purchase, import, export, sell, distribute, stock, deal and trade in, process polymers and plastics, fine, heavy and petrochemicals, drugs and pharmaceuticals, insecticides and pesticides, water treatment chemicals food chemicals, natural products,

detergents and surfactants, antioxidants, including compounding, formulation and processing thereof towards all types of end-use applications, etc. The details of the main objects are set out in the Memorandum of Association of the Applicant Company-3/Resulting Company. The Applicant Company-4/Transferee Company-2 is engaged in the business to provide all types of maintenance services in plant and otherwise, etc. The details of the main objects are set out in the Memorandum of Association of the Applicant Company-4/Transferee Company-2. The Applicant Company-5/Transferor Company-2 is engaged in the business to purchase, take on lease or in exchange, hire or otherwise acquire and to hold, lease, sell, develop and deal in any movable or immovable properties, patents, licences, rights or privileges and turn them to carry on the business of Real Estate Owners, layout Promoters, Builders and Contractors, etc. The details of the main objects are set out in the Memorandum of Association of the Applicant Company-5/Transferor Company-2.

4. The Board of Directors of each of the Petitioner Companies vide their Resolution(s) dated 21.12.2018, have approved the Scheme. The other necessary requirements have also been fulfilled as per the Order dated 08.03.2019 passed by this Bench in CA/280/CAA/2019.

5. The Counsel appearing for the Petitioner Companies has submitted that the proposed restructuring will create enhanced value for shareholders and allow a focused strategy and specialisation for sustained growth, which would be in the best interest of the shareholders, creditors, employees, and other stakeholders in each of the companies. At the same time, the proposed restructuring does not in any manner undermine or prejudice the interests of any stakeholder or impose any additional burden on the members or creditors of the Applicant Company-3 or any of the Transferee Companies.

6. The Regional Director, Southern Region (for short, '**RD**') in his Affidavit dated 22.03.2019 submitted that Clause 7.1 of Part II, 15.1 of Part II and 23.1 of Part IV of the Scheme of the respective Companies provide for the protection of the interest

of the employees/staff of the demerged undertaking and the Transferor Companies.

7. The RD has further submitted that as per the report of RoC, Chennai, all Companies involved in the Scheme are regular in filing their statutory returns. There is no prosecution filed, no complaints pending and no inspection/investigation has been conducted/pending. No objection is made in regard to the Composite scheme of arrangement (Demerger) and amalgamation.

8. The Official Liquidator (In short, **'OL'**) in his Report dated 03.04.2019, submitted that on receiving the copy of the Order dated 08.03.2019, he has nominated M/s. K Gopal Rao & Co., Chartered Accountants (Auditor), one of the firm of Chartered Accountants from the panel maintained by the office, and to scrutinize the books of accounts of both the Transferor Companies. The Auditor has broadly reviewed and observed that Clause 17.1, the Transferee Company-1 viz. M/s. Chemplast sanmar Limited, is a subsidiary of the Transferor Company-1 viz. M/s. Sanmar Speciality Chemicals Limited

and upon coming into effect of this scheme, all the shares of the Transferee company-1 held by the transferor Company-1 (held either directly through its nominees) shall stand cancelled without any further applications, act or deed. In accordance with clause 17.2 upon the scheme becoming effective, the entire paid up share capital held by Transferor Company-1 on the Effective date in the Transferee Company-1 shall stand extinguished and all such equity shares shall be deemed to be cancelled on the Effective date without any further application, act or deed. The cancellation of equity shares held by Transferor Company-1 in the Transferee company-1 and the consequential capital reduction shall be effected as part of this scheme itself and not under a separate procedure in terms of Section 66 of the Act. The consent of shareholders of the Transferor Company-1 to this scheme shall be deemed to be consent of its shareholders for the purpose of effecting reduction under the provisions of Section 66 of the Act and no further compliances would be separately required. The reduction of capital of the Transferor Company-1 does not involve any diminution of liability in respect of any

unpaid share capital or payment to any shareholders of any paid up share capital or payment in any other form.

9. The OL has further submitted that as per clause 17.3, upon coming into effect of this scheme, and in consideration of and subject to the provisions of this scheme, the Transferee Company-1 shall, without any further application, act or deed, consent, act, instrument, deed, issue and allot, on a proportionate basis to each shareholders of the Transferor Company-1, 72 (seventy two) fully paid equity shares of Rs. 10 each of Transferee Company-I for every 25 (Twenty five) fully paid up equity shares of Rs. 10 (Rupees ten) each of Transferor Comapny-1 held by such shareholder whose name is recorded in the register of members and records of the depository as members of the Transferor Company-1 as on the Record date.

10. The OL further submitted that as per clause 25.1 of the Scheme, the entire issued, subscribed and paid capital of the Transferor Company-II viz. M/s. SHL Securities (Alpha) Limited, is held by M/s. Chemplast Cuddalore Vinyls Limited,

a wholly owned subsidiary of the Transferee company-II viz. M/s. Sanmar Engineering Services Limited. Upon Scheme becoming effective with respect to this amalgamation and in consideration of the Transferor Company-II amalgamating into the Transferee Company-II, no new shares shall be issued to the subsidiary of the Transferee Company.

11. The OL has further submitted that the business of the Transferor Companies have not been carried out with intent to defraud the creditors or any other person or for any fraudulent purpose attracting the penal provisions of Section 339 of the Companies Act, 2013. Neither has any person or officer or director of the Transferor Companies misapplied or diverted or retained or became liable or accountable for any money or property of the Transferor Companies or has been found guilty of any misappropriation, breach of trust in relation to the Transferor Companies under Section 339 of the Companies Act, 2013, and the affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interest of

its members or creditors or the public. The OL has not raised any objection/observation.

12. It has been submitted by the Counsel for the Applicant Companies that the statutory Auditors of each of the Applicant Companies have certified that the Accounting Treatment proposed in the Scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013, as stipulated in the proviso to Sub-section (7) of Section 230 of the Companies Act, 2013.

13. The Scheme will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. There is no requirement to modify the proposed Scheme. The Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013.

14. Therefore, the Scheme annexed with Petition stands sanctioned. The Scheme sanctioned shall be binding on all the Shareholders, the Creditors and employees of the Companies involved in the Scheme. The Scheme shall become effective from the Appointed Date viz., 01.04.2018.

15. However, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

16. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

17. The Applicant Companies shall file with the concerned Registrar of Companies the certified copy of this Order within

30 days of the receipt of the order for information and record. The Transferor Companies 1and 2 shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

18. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

19. Thus, the Scheme stands sanctioned and CP/483/CAA/2019 stands **disposed of**.

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(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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